

AN ESSAY ON MONEY, EMPIRE & OFFSHORE POWER

The Spider's Web

*Britain's Second Empire — how a fallen colonial
power reinvented itself as the engine-room of
global offshore finance*



WRITTEN & ILLUSTRATED BY

Ratty2Tails

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TL;DR

- When the British Empire collapsed after the Second World War, the men who had administered it did not retire — they retooled. The City of London traded the machinery of colonial governance for the machinery of global finance.
- The turning point was the 1956 **Suez Crisis**. Humiliated and financially squeezed, Britain quietly permitted its banks to trade in dollars “offshore,” birthing the unregulated **London Eurodollar market** — money pretending to be nowhere.
- A ring of former colonies — Jersey, Guernsey, the Isle of Man, the Cayman Islands, Bermuda, the British Virgin Islands, Gibraltar — were fitted out with **secrecy laws and trusts**, forming a “spider’s web” that funnels wealth back to London while letting the City disown the dirty work.
- The core British instrument is not the bank account but the **trust**: an invisible, unregistered arrangement that severs an owner from their assets so completely that, on paper, the wealth belongs to no one.
- Britain and its dependencies now handle roughly **a quarter of international financial services**; up to **half of all offshore wealth** may sit inside the British web. The same lawyers, accountants and civil servants who run it have captured the state that is meant to police it.
- The bill falls on ordinary taxpayers and, above all, on the developing world — which loses more to capital flight and evasion than it receives in aid or owes in debt.

INTRODUCTION

Introduction & Scope

For over three hundred years, Britain ruled the largest empire the world had ever known. Its armies conquered, its administrators governed, and its bankers financed — and at the centre of it all sat the City of London, the beating financial heart of the imperial engine. Then, in the space of a generation, the empire came apart. Colony after colony declared independence, and no amount of force could reverse the tide. As Britain’s elites watched their wealth, their privileges and their empire disintegrate, they went looking for a new role in a changing world. They found one in finance.

This essay traces how that transformation happened, and why it still shapes the world we live in. It is the story of how a declining colonial power reinvented itself not as a manufacturer, nor as a military hegemon, but as the discreet custodian of other people’s money — the largest single node in the global system of tax havens, shell companies and secret trusts. It is a story of accidental loopholes that hardened into strategy, of tiny islands turned into legal fictions, and of an old-boys’ network that converted itself from the administrators of empire into the handlers of the global elite.

The scope is deliberately focused. This is not a comprehensive history of taxation, nor a technical manual of offshore structuring. It is an argument — the “second empire” thesis — assembled from the testimony of

insiders, academics and campaigners who have spent their careers inside or against this system. Where the figures are estimates, they are flagged as such: the whole point of a secrecy system is that its true dimensions cannot be measured, only inferred. What follows is a map of a hidden country, drawn from the outlines it leaves in the visible world.

The maps and diagrams throughout are the author's own, built to make an invisible architecture legible. Read them as you would read a diagram of plumbing: the interest is not in any single pipe, but in where the water is really going.

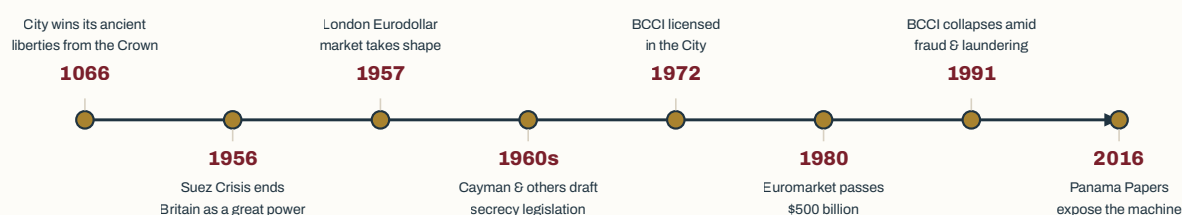


Figure 1 — A nine-century arc, from a medieval charter to a modern leak. The story of Britain's second empire is one of accidents that hardened into strategy — each milestone widening a channel through which money could move unseen.

PART I

From Empire to Finance

In the days of the British Empire, the City of London was the largest financial centre on earth. Historians have called it the governor of the imperial engine, and the description is exact: the countries of the empire traded and borrowed in sterling, and the City was their banker. Its reach extended well beyond the formal empire — independent nations, too, kept their accounts and settled their debts in London. The Square Mile was not merely a market. It was the counting-house of a quarter of the world.

When the empire fell, the City fell with it. As colony after colony walked away, the sterling zone shrank, the imperial business evaporated, and the men whose careers had been built on administering the world found the world administering itself. But the City did not die. It adapted. If Britain could no longer govern territories, it could still handle money — and money, unlike colonies, does not demand independence. The question that defines the rest of this essay is a simple one: what did the City become, once it had nothing left to govern?

A city within a city

To understand the answer, one must first understand how strange the City of London is. It is not London. It is a square mile inside London, run by its own body, the City of London Corporation, with its own Lord Mayor distinct from the mayor of the wider capital, its own police, and a ceremonial life reaching back to the Middle Ages. Its peculiar liberties are genuinely ancient: when William the Conqueror took England in 1066, the City

was among the few places he could not simply subdue, and the following year he struck a bargain that let it carry on governing itself. It has been carrying on ever since.

The oddities are not merely historical colour. In City elections, the vote is dominated not by residents but by the businesses operating there. Its Lord Mayor is chosen through medieval guilds. And it keeps, uniquely, a permanent official inside Parliament — the Remembrancer — who sits where no other lobbyist may sit, reporting back to the Corporation and pressing the City's interests on the legislature. Clement Attlee, prime minister after the Second World War, understood exactly what this meant. There is in this country, he warned, *“another power than that which has its seat at Westminster”* — a collection of financial interests able to pursue policies, at home and abroad, contrary to those chosen by the people.

PART II

Suez & the Accidental Loophole

The hinge of the whole story is a humiliation. In 1956, Egypt nationalised the Suez Canal. Britain and France, treating the waterway as theirs by right, issued an ultimatum and then attacked. But the world had changed. The United States, unwilling to underwrite a colonial adventure, opposed the invasion and forced an Anglo-French withdrawal. Britain was exposed as a power that could no longer act alone. Suez did not merely lose Britain a canal; it announced, to Britain and everyone watching, that the age of British greatness was over.

What followed was financial. Confidence in sterling drained away — some suspected Washington of encouraging the run — and as money fled, the pound sank. To defend it, Britain clamped down on the banks' overseas lending. The banks, forbidden from doing abroad what they had always done, were unhappy, and through the Bank of England — itself run by men drawn from the banking world — they reached an understanding. It was never written down. Its substance was this: if a London bank arranged a deal between two non-residents in a foreign currency — dollars, in practice — the Bank of England would treat that transaction as none of its business.

It is about providing a legal space in which you pretend the activity is not happening where it really is. Where doesn't matter. It is just—elsewhere.

THE LOGIC OF THE OFFSHORE FICTION

Out of this quiet fiction the London Eurodollar market was born. Banks kept two sets of books; the Bank of England declared that the “Euro” accounts were not, in any regulatory sense, in London at all. They were elsewhere. The money was physically in the City, generating profits in the City, and answerable to no one. When American banks grasped that London would let them do what United States regulators forbade, they moved their international operations across the Atlantic. The City had discovered its new vocation: not governing the world's wealth, but hiding it in plain sight.

PART III

The Web of Islands

At almost the same moment, a second and stranger space began to open — not in London, but in the scattered remnants of empire. In the 1960s the Cayman Islands were a mosquito-ridden backwater where, by local legend, nothing much happened at all. Then accountants and lawyers arrived from London and began to write. What they wrote were secrecy laws: statutes designed to guarantee that money brought to the islands could not be traced. Because secrecy was the product, the places that sold it came to be called, aptly, secrecy jurisdictions.

The authorities in London watched, and understood. A Bank of England report of 1969, marked secret, worried that the proliferation of trust companies and banks — little more than “brass plates” managing assets held elsewhere — might get out of hand. It had no objection, it noted, to these places providing bolt-holes for non-residents; it simply wished to be sure that British capital was not slipping the rules. The concern, in other words, was one of control, not of principle. Today there remain fourteen British Overseas Territories; seven are fully fledged tax havens, among them the Cayman Islands, Bermuda and the British Virgin Islands — still, in the twenty-first century, some of the largest havens in the world.

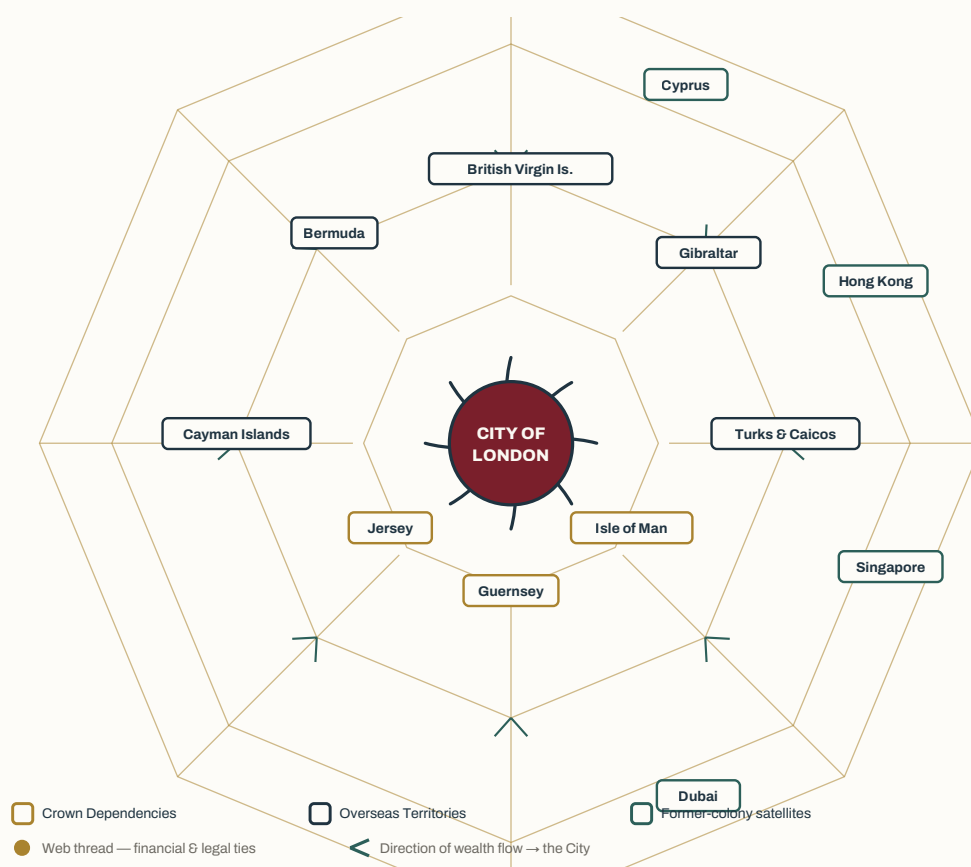


Figure 2 — The spider's web. At the centre sits the City of London; radiating outward are the Crown Dependencies, the Overseas Territories, and a further ring of former-colony financial centres. Deals are struck at the hub and registered on the rim — so that when scandal breaks, the City can disown the very structures it built.

This is the architecture the diagram above tries to make visible. It is a hub and a rim. Deals are conceived, negotiated and concluded in London, then registered offshore — in Jersey, in Gibraltar, in Cayman — where regulators are weaker and prosecutions almost never come. The arrangement is exquisitely convenient. When money is to be made, the business is London's. When a scandal breaks, it belongs to some independent island far away, and the City spreads its hands: nothing to do with us. One insider who spent a decade advising Jersey came to see these places as monsters the City itself had created — and then declined to acknowledge.

The claim of independence is a useful fiction of its own. Britain appoints the governors of these territories, controls their defence and foreign affairs, and can veto their laws. When France, Germany or the United States complain, London insists its hands are tied — that these jurisdictions are autonomous and beyond its reach. They are not. The control is real; it is simply exercised quietly, in the British manner, through a word over a cup of tea rather than an order in writing. A gentle hint that a piece of proposed legislation might be unwelcome is understood, on the island, as an instruction. There is no paper trail, and that is the point.

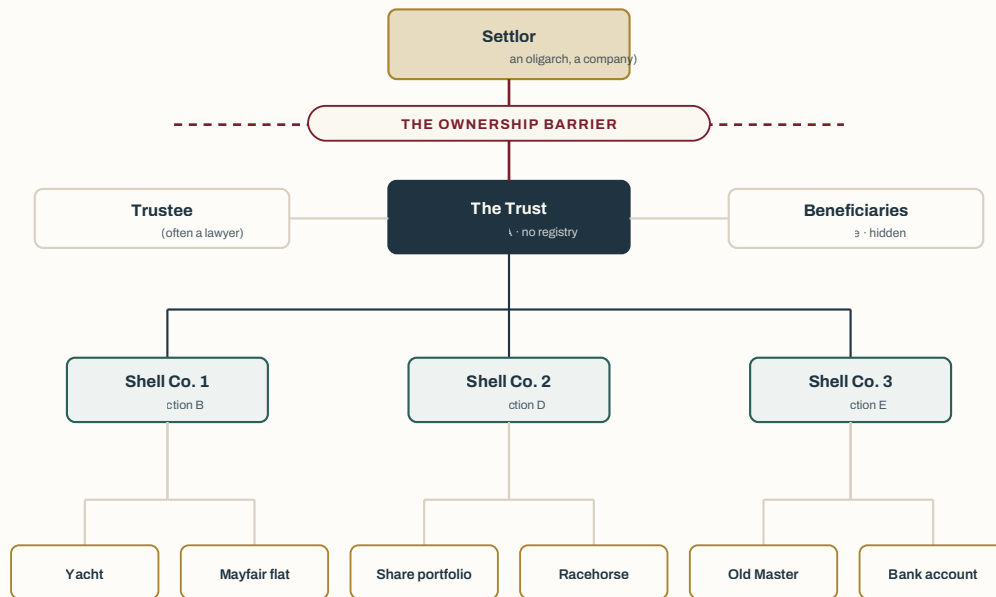
PART IV

The Trust: A Machine for Invisibility

Secrecy has more than one flavour. The Swiss perfected the secret bank account: put your money in, and the bank promises to tell no one. The British speciality is subtler, older and far more slippery — the trust. Where the Swiss hide the account, the British dissolve the very idea of ownership.

The trust, as legend has it, comes down from the Crusades. A knight departing for foreign wars would hand his lands to a trusted steward to manage in his absence. Legally, the assets were no longer his; a barrier now stood between the man and his property. Modern offshore practice takes that ancient device and turns it into an instrument of concealment. The owner — the settlor — hands assets to a trustee, often a lawyer. In law, he is separated from them. He cannot easily be taxed on them, because they are not his; he cannot easily be linked to them, because nothing connects his name to the wealth.

In Britain's offshore world the trust is almost weightless. No qualification is required to be a trustee; anyone may act as one. There is no register of trusts, no body that certifies their creation, no obligation to file accounts. The only people who need know a trust exists are the settlor and the trustee. For every practical purpose, a trust is an invisible arrangement — and invisible arrangements, multiplied across the globe, hold a staggering quantity of the world's wealth: not millions but trillions, in assets that, for the purposes of tax and law, belong to nobody at all. Yachts, paintings, racehorses, portfolios, whole streets of property — all owned by no one.



Above the dashed line: a named human owner. Below it: assets that, for tax and law, belong to **no one**.

Figure 3 — How ownership is made to disappear. A trust severs the settlor from his assets by an “ownership barrier”, then owns a chain of shell companies — each in a different jurisdiction — which in turn hold the yachts, flats and portfolios. Trace any single company and you learn nothing; the trust above it answers to no registry.

The trust rarely stands alone. It sits at the apex of a structure, owning shell companies scattered across jurisdictions, each holding a slice of the assets. A trust in one country, trustees in a second, beneficiaries in a third, owning companies in a fourth and fifth: combine enough of these layers and you produce something almost impossible to see through. Every secrecy jurisdiction offers the components — trusts, shell companies, nominee directors, secret accounts — and offshore lawyers make their living assembling them into ever more obscure arrangements whose sole purpose is to hide who owns what.

How much is hidden this way became briefly visible in 2016, when the Panama Papers spilled the files of the law firm Mossack Fonseca — only the fourth largest such firm in the world. Nine of the ten largest offshore law firms are registered in British jurisdictions. The leak revealed the machinery; it did not dismantle it. As one member of the European Parliament’s inquiry observed, the remedy is neither complicated nor secret: a public register of who really owns these trusts and companies. The knowledge exists. The will to act on it does not.

PART V

The Scale of the Web

Once the offshore fiction and the secrecy islands were in place, the money came. The London Euromarket, fed by this cheap and unregulated capital, grew at a pace that is hard to comprehend. By 1980 it had reached five hundred billion dollars. Eight years later it stood at nearly five trillion. By the late 1990s the overwhelming majority of the world’s international lending ran through it.

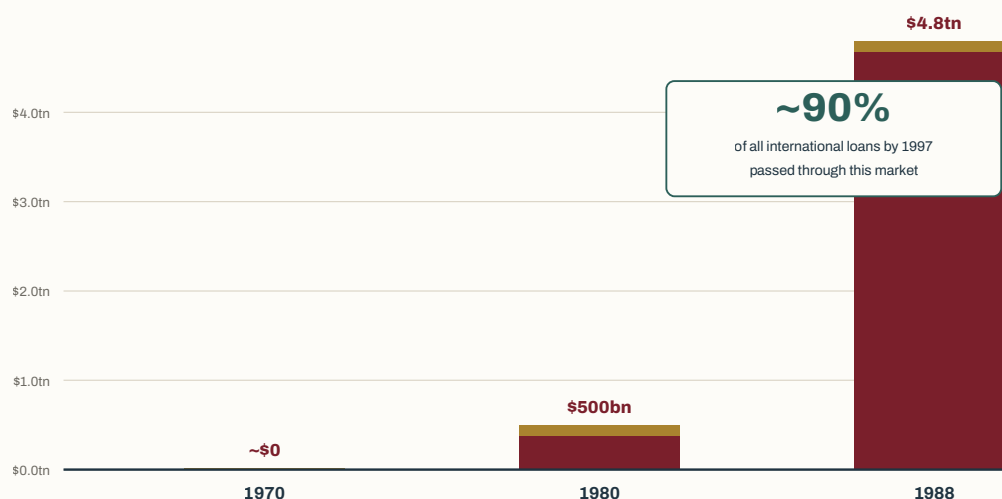


Figure 4 — The Euromarket, from a rounding error to the main artery of world finance. Unregulated dollar banking in London swelled from half a trillion dollars in 1980 to almost five trillion by 1988 — and by 1997 carried the bulk of all cross-border lending on earth.

Set against the wider world of finance, the British position is extraordinary. Measured by financial services sold to non-residents, the United States commands roughly a fifth of the global market. Britain and its offshore jurisdictions together take about a quarter. Add the ring of former-colony centres that grew out of the same tradition — Hong Kong, Singapore, Dubai, Cyprus — and the British sphere approaches two-fifths of the entire market. For a country that supposedly lost its empire, this is a remarkable second act.

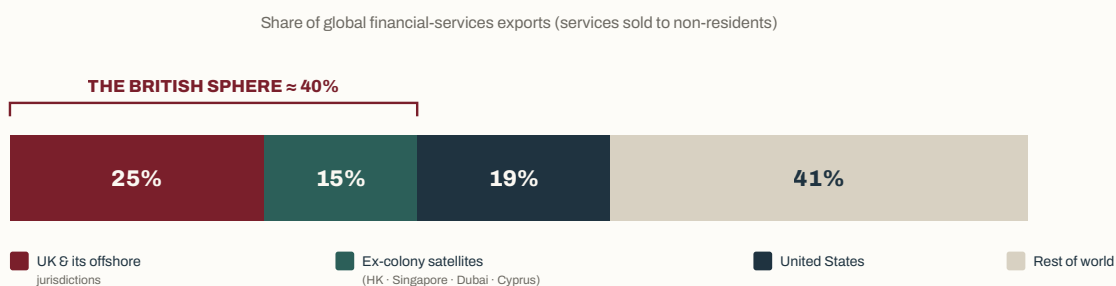


Figure 5 — The two capitals of offshore finance. The United States holds around a fifth of the global market; the British sphere — the UK, its dependencies and its former-colony satellites — approaches forty per cent. Between them they dominate the trade in other people's secrecy.

The concentration is visible in a single island. The Cayman Islands, with a population smaller than a mid-sized English town, is one of the largest financial centres on the planet.

80,000

COMPANIES REGISTERED IN CAYMAN

>75%

OF THE WORLD'S HEDGE FUNDS

\$1.9tn

ON DEPOSIT

60,000

PEOPLE WHO ACTUALLY LIVE THERE

Estimates of the whole are necessarily rough — secrecy resists measurement — but campaigners reckon that as much as fifty trillion dollars in assets may sit offshore, and that up to half of all offshore wealth may be held within the British web. These figures are contested, and should be read as informed guesses rather than audited accounts. But even the low end describes a shadow economy on the scale of nations.

PART VI**The American Mirror**

Britain did not build this alone, and it is worth pausing on why the United States, so often cast as the disciplinarian at Suez, became the system's silent partner. In the 1960s the economist Michael Hudson worked at Chase Manhattan on Wall Street, tracking America's balance of payments. The deficit, he found, was driven almost entirely by military spending — dollars pouring out of the country to pay for the Vietnam War, dollars that risked ending up in foreign banks and, worse, being cashed in for American gold.

Washington's solution was not to stop the outflow but to catch it on the way back. In 1967 Hudson was handed a State Department memo urging that Chase help America become "*the Switzerland of the world*" — a destination for the planet's flight capital. The plan was to set up offshore banking centres in the Caribbean; criminal money, drug money and hot money of every kind would flow into those discreet island banks, which would then deposit it, cleaned of its origins, back into the head offices in New York. By pulling offshore dollars home, the United States could prop up its own currency.

The accounting sleight is quietly revealing. In the balance-of-payments statistics, this shadow money appears under a bland heading: *errors and omissions*. It is, in truth, flight capital — and it is called something else because no one wishes to look at it too closely. Decades earlier, an economist at the Commerce Department who proposed logging criminal flows was reportedly told that America was a Christian country and did not care to report crime. So the money was not counted. It was omitted. With the United States thus quietly committed to the same game, Britain's offshore havens grew under a protective silence, and the offshore system became the dominant channel of international finance.

PART VII**Bleeding the South**

The costs of this system are not evenly shared. Every year the developing world loses more than a trillion dollars to capital flight and tax evasion — wealth that drains toward the great Western centres, keeping

their currencies strong while poorer nations' currencies stay weak. Nowhere is the arithmetic more startling than in Africa.

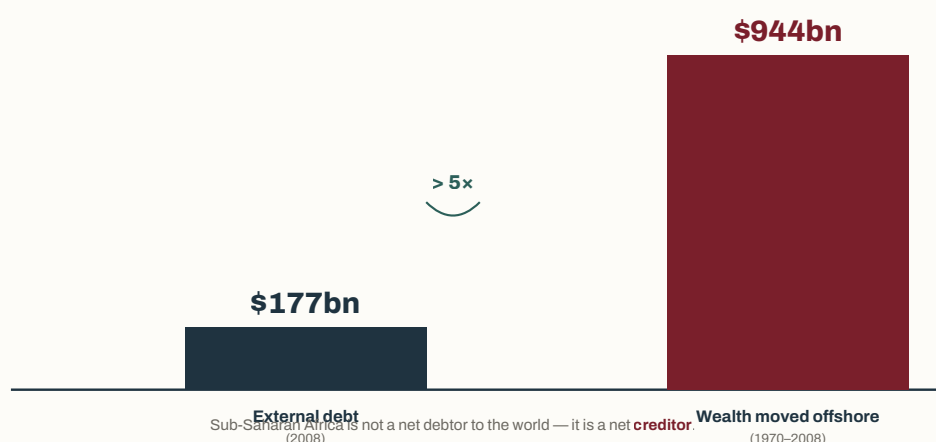


Figure 6 — The great inversion. Sub-Saharan Africa's external debt in 2008 stood at \$177bn. The wealth its elites had moved offshore between 1970 and 2008 is estimated at \$944bn — more than five times greater. On these figures the continent is not the world's debtor but its creditor.

The picture we are taught is of a poor continent in hock to rich lenders. The offshore figures suggest something close to the reverse. As elites moved their wealth out through the secrecy structures, their governments borrowed from international banks at high interest — and the debts, compounding, grew until they could scarcely be repaid. The oil of Gabon, the copper of Zambia, the gold of Mali enriched the companies that extracted them and the elites who signed the deals, while the populations who owned the resources saw little. Secrecy is what makes this possible: anonymity rewards the corrupt and shields the proceeds. It is, in effect, a second colonisation — conducted not by soldiers but by structures.

Efforts to change it are quietly strangled. When developing countries have pushed for a proper United Nations tax body — a forum where the rules of cross-border taxation might be set democratically — the proposals have been blocked, with Britain and the United States prominent among the objectors. One veteran campaigner has described the emergence of a new kind of organised crime: “*a new mafia in town*” that fires no bullets but deprives people of healthcare, education, security and justice all the same.

PART VIII

The Capture of the State

A system this large does not survive by hiding from the state. It survives by capturing it. The pattern recurs at every level of British public life, and it is worth examining in its parts.

The bankers' bank

In 1972 the Bank of England licensed the Bank of Credit and Commerce International. Within a decade BCCI had grown into the seventh largest bank in the world; a decade after that it was bankrupt, having engaged in vast fraud, money laundering and terrorist financing, while also serving the world's intelligence services. The Bank of England, an inquiry later found, had enough information to close it more than a year before it did — but the tradition of British regulation was not prosecution. It was a hint dropped over lunch between the right sort of people. This, more than anything, is the offshore promise of the United Kingdom: bring your money here, and we will look after you. In Britain, bankers do not, as a rule, go to jail. They are a protected species.

The pinstripe infrastructure

The system runs on professionals. There are roughly two and a half million qualified accountants in the world; some three hundred and thirty thousand of them are in the United Kingdom. Well-dressed and well-paid, they sit in city-centre offices designing the schemes that let corporations and the wealthy pay little or nothing. A country may vote for a government that promises better hospitals and schools; the next morning, in effect, the accountants explain that the revenue to pay for them has been arranged away. When challenged that his firm merely served satisfied clients, one professor of accounting replied that this was the language of drug dealers. The Big Four have not only advised on the system; they have entered the state itself, their partners moving into the Treasury and the tax authority.

PFI and the offshore taxman

Consider the Private Finance Initiative, a scheme for funding hospitals, schools and roads through private capital rather than direct government borrowing. Over thirty or forty years the repayments can total three or four times what straightforward public borrowing would have cost — a giant accounting arrangement whose design and sale were shaped by the same accountancy firms embedded in the Treasury. The absurdity reaches its logical end at the tax authority's own front door: the offices of HM Revenue & Customs are themselves owned offshore, through a company registered in Bermuda, financed with high-interest offshore loans so structured that little or no UK tax is paid on them. The tax collector rents its buildings from a tax haven.

The revolving door

At the top of HMRC, a new kind of official rose — one who preferred to settle the tax affairs of the largest companies in private, face to face, rather than in open court. Under this approach one telecoms giant received a refund exceeding a billion pounds; other household names had their bills quietly reduced by millions. When Parliament asked how, it was told that taxpayer confidentiality forbade an answer — though the legal advice had in fact left disclosure to the discretion of the very official declining to disclose. In retirement he moved, as so many do, to one of the great accountancy firms, and was honoured by the Crown. When a former minister joins such a firm, it is not for his knowledge of bookkeeping. It is for the doors he can open.

Over and over, the politicians have effectively become the spokesmen of the interests they are meant to regulate.

ON THE CAPTURE OF THE BRITISH STATE

The capture reaches into politics itself. British lobbyists — some of them elected politicians — are said to descend on Brussels to defend the City's interests in greater numbers than the representatives of every other European state combined. And the personal entanglements run deep: the father of one recent prime minister built part of his fortune in offshore funds, and left an estate strikingly smaller than his known wealth. In public, British leaders declaim against secrecy and corruption and challenge the world to root out the rot. In practice, those with the power to close the system tomorrow decline to do so — because they, their families and their donors are inside it.

Summary

The British Empire did not so much end as change its clothes. When the colonies departed and the sterling zone dissolved, the City of London faced obsolescence — and answered it by reinventing itself as the world's pre-eminent handler of hidden money. The 1956 Suez Crisis, which confirmed Britain's decline as a military power, also midwifed its rebirth as a financial one: the run on the pound produced the unregulated Eurodollar market, a legal fiction in which activity taking place in London was declared to be taking place nowhere.

Around that fiction grew a web. The scattered remnants of empire — Jersey and Guernsey, Cayman and Bermuda, the British Virgin Islands and Gibraltar — were fitted with secrecy laws and trusts, and wired back to the City that quietly controls them. Deals are done at the centre and registered on the rim, letting London profit from business it can disown the moment it turns to scandal. The trust, that peculiarly British machine, does the deepest work of all, dissolving ownership itself so that trillions in assets can belong, in law, to no one.

The consequences are global and unequal. Britain and its dependencies handle around a quarter of international finance, and the wider British sphere approaches two-fifths; up to half of all offshore wealth may sit within it. The bill falls hardest on the poor: the developing world loses more each year to flight capital and evasion than it gains in aid, and on the offshore arithmetic even sub-Saharan Africa is a net creditor to the rich world it is supposed to owe. At home, the professionals who run the system — the bankers, accountants and lawyers, and the politicians who speak for them — have so thoroughly entered the state that the institutions meant to police the web are staffed and shaped by its architects.

None of this was inevitable, and none of it is secret in the way it once was. Since the Panama Papers we have seen the machinery in operation. The obstacle is not knowledge but will. The remedy campaigners propose is almost mundane — a public register of who truly owns the trusts and companies — and its very simplicity is the measure of how deliberately it is avoided. The spider's web is not a relic of history. It is Britain's second empire, still spinning, and it asks of every citizen the same quiet question: who, exactly, is your government working for?

Sources

This essay is a work of synthesis drawn primarily from the documentary film cited below and the works and testimony it draws upon. Figures described as estimates — notably the totals for global offshore wealth and for African capital flight — originate with the campaigners and researchers featured in the film and are, by the nature of financial secrecy, approximate.

- 1. Primary source.** “*The Crown & Corruption: How the United Kingdom Became the World’s Largest Tax Haven*” — FD Finance (YouTube), a narrated presentation of the documentary below. [youtube.com/watch?v=-17QJykG-tA](https://www.youtube.com/watch?v=-17QJykG-tA)
- 2. The underlying film.** *The Spider’s Web: Britain’s Second Empire* (2017), written, directed and produced by Michael Oswald; co-produced by John Christensen; Indigenius / Independent POV. The final part of a trilogy following *97% Owned* and *Princes of the Yen*.
- 3. Nicholas Shaxson**, *Treasure Islands: Tax Havens and the Men Who Stole the World* (Bodley Head, 2011) — the investigative account that underpins much of the film’s argument.
- 4. P. J. Cain & A. G. Hopkins**, *British Imperialism* — source of the description of the City of London as the “governor of the imperial engine.”
- 5. Tax Justice Network** — the Financial Secrecy Index and associated research on jurisdictions’ shares of global financial-services exports (John Christensen, Alex Cobham and colleagues).
- 6. Prof. Ronen Palan**, City University of London — scholarship on tax havens and the offshore world.
- 7. Prof. Michael Hudson** — first-hand testimony on Chase Manhattan, the balance of payments, and the 1967 proposal for the United States to become “the Switzerland of the world.”
- 8. Prof. Prem Sikka** — on the accountancy profession and the “pinstripe infrastructure” of tax avoidance.
- 9. Eva Joly** — on the European Parliament’s Panama Papers inquiry and the case for a public register of beneficial ownership.
- 10. Stuart Syvret**, former Senator and Health Minister of Jersey — testimony on suppression and dissent within a secrecy jurisdiction.
- 11. Public record** — the Bank of England memorandum of 11 April 1969; the BCCI collapse and subsequent inquiry; the Panama Papers / Mossack Fonseca leak (ICIJ, 2016); the Private Finance Initiative; and Clement Attlee’s remarks on the City of London.

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Written, illustrated and typeset by **Ratty2Tails**

Original diagrams & data-visualisations by the author